its target for money creation. The overall net sale of government bonds by the government and the RBI combined to the public (that is, the effective public sector borrowing requirement) will not change. But the entire objective of financing government spending with a special RBI dividend is to reduce overall government bond sales to the public. That objective is not achieved!

The bottom line is that the RBI should transfer to the government the entire surplus, retaining just enough buffers that are consistent with good central bank risk management practice. Indeed, this year the Board paid out an extra 8,000 crores than was promised to the government around budget time. Separately, the government can infuse capital into the banks. The two decisions need not be linked. There are no creative ways of extracting more money from the RBI – there is no free lunch! Instead, the government should acknowledge its substantial equity position in the RBI and subtract it from its outstanding debt when it announces its net debt position. That would satisfy all concerned without monetary damage.

If what I have said just now seems complicated, it is, but it is also the correct economic reasoning. Similar detailed rationales lead us to turn down demands to cut interest rates in the face of high inflation, to depreciate or appreciate the exchange rate depending on the whim of the moment, to use foreign exchange reserves to fund projects, to display forbearance in classifying bad loans or waived farmer loans as NPAs, and so on…

We have been tasked with a job of maintaining macroeconomic stability, and often that task requires us to refuse seemingly obvious and attractive proposals. The reason why we have to do what we have to do may not be easy for every unspecialized person, even ones with substantial economics training, to grasp quickly. Of course, we still must explain to the best of our ability but we also need to create a